of meetings with his sources in Nepal primarily to make them understand Pakistan's deception and that the monarchy was more interested in maintaining the status quo than in cleaning up the country. He also explained his relationship with the assets.

'It was more than a working relationship,' he said. 'Some were initially reluctant to participate and I told them to take time to evaluate the mess Nepal was turning into. I also warned them that Nepal would sink under such a regime and the support to militants may turn out to be counterproductive. They could see trouble brewing in Kathmandu and Pokhara, the two major cities of Nepal, and they helped us stay a step ahead of our enemies for years. Unfortunately, our strategists in the last few years have not utilised these assets judiciously.'

When the conflict ended in April 1990 after months of violence, an interim government headed by Krishna Prasad Bhattarai was installed in Kathmandu. In June that year, the prime minister, fondly called 'KP' by the Indian intelligence community, made a trip to Delhi and reiterated that he would make every effort to usher in peace, friendship and cooperation with India. He promised not to allow activities in Nepalese territory that could be prejudicial to the security of India and assured the Indian government of prior consultations on defence related matters. In November 1990, Chandra Shekhar became the prime minister and made a reciprocal visit to Nepal in February 1991, where he held meetings with a wide spectrum of Nepalese political leaders. During Chandra Shekhar's period in office, a decision was made to set up a high-level task force for comprehensive economic cooperation that would function under the guidance of an IndoNepal Joint Commission. Attempts were made from both sides to begin a new era of